

Task 2 - Values Audit

1. Company Background and Mission

This project assumes a small RegTech company called RegLens AI that builds AI governance tools for banks using machine learning in retail lending. The company does not develop credit models itself. Its role is to monitor models after deployment and help compliance teams see when a model starts behaving differently from what was expected.

RegLens AI's mission is to make AI use in lending more accountable without pretending that compliance can be fully automated. The company focuses on practical monitoring: model drift, approval disparities, fairness indicators, governance escalation, and jurisdiction-specific compliance alerts.

The target customers are multinational banks that operate across different regulatory regimes. These banks may use similar credit scoring models across markets, but the compliance concerns are not always the same. This is where a jurisdiction-aware monitoring layer becomes useful.

Company Aspect	Project Assumption
Industry	RegTech / AI governance
Main product	Post-deployment monitoring tool
Target clients	Multinational banks
Core use case	Retail credit scoring compliance
Main value	Early warning for drift, fairness, and governance risks

2. Stakeholder Perspective

RegLens AI mainly serves bank compliance teams and model risk management teams. These teams are responsible for ensuring that lending models remain reliable and defensible after deployment. The tool also indirectly serves regulators and consumers because better monitoring reduces the chance of unfair or poorly governed lending decisions.

There is a real tension between the stakeholders. Bank management wants efficiency and profitable lending. Regulators want fairness, transparency, and accountability. Consumers want fair access to credit. These goals overlap, but they are not identical.

For that reason, this project does not design a fully automated approval engine. It designs a monitoring and escalation tool. The tool can identify risky patterns, but human judgement is still needed when deciding whether a model should be adjusted, paused, or reviewed.

Stakeholder	Main Concern
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Bank management	Efficiency, profitability, and portfolio quality
Compliance team	Regulatory defensibility and audit readiness
Model risk team	Model stability, drift, and performance deterioration
Regulators	Fair treatment, governance, and accountability
Consumers	Fair access to credit and understandable decisions

3. Governance Approach and Risk Monitoring

RegLens AI is designed to measure genuine risk, not just produce compliance paperwork. A static policy document may show that governance exists, but it may not reveal that a live credit model is drifting because borrowers, income levels, loan sizes, or default behaviour have changed.

The main design choice is therefore continuous comparison between the training environment and the live deployment environment. If the live data no longer resembles the training data, the tool should flag this as a governance issue before it becomes a larger credit or regulatory problem.

The project deliberately avoids automatic loan approval recommendations. This boundary is important because the purpose of the tool is monitoring, not decision replacement. In regulated lending, automation should support accountability rather than hide it.

Monitoring Area	Purpose
Distribution drift	Detect whether live applicants differ from the training population
Approval monitoring	Identify shifts in approval outcomes
Fairness analysis	Track demographic outcome differences that may need review
Model performance	Monitor whether default outcomes suggest deterioration
Jurisdiction logic	Apply different compliance thresholds for OCC and MAS contexts

4. Risk and Failure Impact

If the tool gets something wrong, the harm is not evenly distributed. A false alarm may create extra review work for the bank, but a missed warning can be more serious. It may allow a deteriorating model to remain in production or allow unfair outcomes to continue unnoticed.

Consumers are most directly affected when low-risk applicants are wrongly rejected or when explanations are weak. Banks are affected when high-risk borrowers are approved at scale or when regulators question the quality of AI governance. A jurisdictional error can also create a false sense of compliance if the tool applies the wrong rule set to the wrong market.

For this reason, the tool should not be treated as a final decision-maker. It should be treated as an early-warning system that helps humans decide when investigation is needed.

Failure Type	Main Harm	Most Affected Stakeholder
False positive alert	Unnecessary investigation and delayed decisions	Bank staff and applicants
False negative	Risky model behaviour remains unnoticed	Bank and consumers
Drift not detected	Model continues operating in a changed environment	Bank and regulators
Fairness issue missed	Unequal credit access may continue	Consumers
Jurisdiction misconfiguration	Wrong compliance interpretation	Bank and regulators

Conclusion

This project treats AI governance in lending as an operational problem, not just a technical one. A credit model can be accurate at launch and still become risky later if the environment changes. The proposed tool addresses this gap by combining drift monitoring, fairness analysis, and jurisdiction-specific compliance logic.

The main value of RegLens AI is not that it replaces judgement, but that it makes emerging risks visible earlier. This is especially important for multinational banks because the same model result may trigger different concerns under OCC and MAS expectations.

References

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